

18 February 2026

Market Announcements Office
ASX Limited
Exchange Centre
20 Bridge Street
SYDNEY NSW 2000

Dear Sir/Madam

AUSTRALIAN FINANCE GROUP LTD ANNOUNCES FY26 HALF YEAR RESULTS

Please refer to the following information in relation to Australian Finance Group Ltd (ASX: AFG) results for the half year ended 31 December 2025.

- Part 1: Appendix 4D and FY26 Half Year Financial Report.
- Part 2: Appendix 3A.1: Notification of Dividend.
- Part 3: AFG FY26 Half Year Results Market Release.
- Part 4: AFG FY26 Half Year Results Investor Presentation.

Investor Briefing

David Bailey, Chief Executive Officer, and Luca Pietropiccolo, Chief Financial Officer, will give a presentation to analysts and investors via a conference call at 11:00am AEST today. To participate in the call, please pre-register using the following link: <https://registrations.events/direct/MCM327954>

Participants who pre-register will get a calendar invitation with the conference call phone number, along with a unique code to use when dialing in.

Authorised for disclosure by:



Michelle Palethorpe
Company Secretary

AFG

Half-Year Report

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& APPENDIX 4D

For the half-year ended
31 December 2025

Go far.
Go together.

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This half-year financial report does not include all the notes of the type normally included in an annual financial report. Accordingly, this report is to be read in conjunction with the annual report for the year ended 30 June 2025 and any public announcements made by Australian Finance Group Ltd during the half-year reporting period in accordance with the continuous disclosure requirements of the Corporations Act 2001.

Appendix 4D

Results for announcement to the market

Half-year report for the 6 months ended 31 December 2025

In millions of AUD	31 December 2025 \$'m	31 December 2024 \$'m	Increase / (Decrease) \$'m	% change
Revenue from ordinary activities	715.0	625.6	89.4	14.3%
Net profit for the period attributable to shareholders	22.4	15.3	7.1	46.4%
Underlying NPAT plus amortisation from continuing operations ¹	24.1	16.9	7.2	42.6%
Net tangible asset backing per ordinary security (cents)	(403.0)	(391.9)	(11.1)	2.8%
Net tangible asset backing per ordinary security including trail book contract asset (cents) ²	46.2	38.2	8.0	20.9%

¹ Underlying NPAT plus amortisation from continuing operations is derived as net profit after tax and amortisation of acquired intangibles before changes in the carrying value of trailing commissions contract asset and payables and deferred tax adjustments due to a change in the tax treatment of the put/call option revaluation.

² Net tangible assets excludes the trail book asset (contract asset) and right of use asset but includes the associated trail commission payable. However, given the significant value of the trail book and its interrelationship with the trail book liability, net tangible assets (NTA) including the trail book asset has also been calculated and disclosed for both the current period and the prior period.

Dividends	Amount per security	Franked Amount per security
Interim dividend	4.7 cents	100%
Previous corresponding period interim dividend	3.8 cents	100%
Record date for determining entitlements to the interim dividend	26 February 2026	
Date the interim dividend is payable	27 March 2026	

Details of associates and jointly controlled entities

Name	31 December 2025 Percentage ownership	30 June 2025 Percentage ownership
Thinktank Group Pty Ltd	31.9	32.0
MAB Broker Services Pty Ltd	48.1	48.1
Lifespan Pty Ltd	30.0	30.0
Empower Wealth Mortgage Advisory Pty Ltd	20.0	20.0
Loan Path Finance Pty Ltd	28.0	-
Network Finance Pty Ltd	40.0	-
TS Finance Broking Pty Ltd	35.0	-

Supplementary information

Reporting period is the half-year ended 31 December 2025 with the previous corresponding period to 31 December 2024.

For additional Appendix 4D disclosures, refer to the accompanying Interim Financial Report (which includes the Directors' report) for the half-year ended 31 December 2025 and ASX release.

This Appendix 4D should be read in conjunction with Australian Finance Group Ltd.'s Annual Report 2025.

Directors' Report

The Directors present their report for the consolidated of Australian Finance Group Ltd comprising the Company (**AFG or the Company**) and its subsidiaries (**the Group**) and the Group's interest in associates and jointly controlled entities for the half-year ended 31 December 2025.

Principal activities

The principal activities of the Group during the half-year ended 31 December 2025 continued to be:

- Mortgage aggregation of home loans, consumer asset finance and commercial loans;
- Investment & development of our proprietary technology platforms that connects lenders to borrowers and enhances broker efficiency; and
- Distribution of own branded home loan products, funded through its established residential mortgage-backed securities (**RMBS**) programme and white label arrangements.

Corporate Governance Statement

The Company's Corporate Governance Statement can be found at <https://investors.afgonline.com.au/corporate-governance>

Review of operations

The operations, financial position, business strategies and prospects for future financial years of the Group are detailed in the operating and financial review included in market release.

Non-IFRS financial information

The following table reconciles the unaudited underlying earnings to the reported profit after tax for the period in accordance with Australian Accounting Standards:

Name	31 December 2025	31 December 2024
NPAT attributable to equity holders of the Company	22.4	15.3
Amortisation of acquired intangible assets	1.2	1.2
NPAT plus amortisation	23.6	16.5
Change in the carrying value of trailing commissions contract asset and payables	0.5	0.7
Net change in fair value of put/call liability of Fintelligence	–	(0.3)
Underlying NPAT plus amortisation	24.1	16.9

Dividend

A final dividend of 5.3 cents per share fully franked in respect of the year ended 30 June 2025 was announced on 26 August 2025 and paid to shareholders on 8 October 2025. Interim dividend for the six months ended 31 December 2025 information presented below:

	Amount per security	Franked Amount per security
Interim dividend	4.7 cents	100%
Previous corresponding period interim dividend	3.8 cents	100%
Record date for determining entitlements to the interim dividend	26 February 2026	
Date the interim dividend is payable	27 March 2026	

Likely developments and expected results

As an aggregator for over 4,300 brokers, the Group, through its market-leading broker technology platform, connects lenders to borrowers. Serving as an essential component of Australia's financial system, with AFG brokers originating 1 in 9 residential mortgages in the country. In addition to providing aggregation services, the Group leverages its comprehensive understanding of borrower requirements to lend directly, functioning as a non-bank lender via its broker network. The Group is poised to achieve growth through its three strategic pillars:

- Grow our broker network.
- Provide a market leading technology proposition.
- Deliver higher margin through our distribution network.

Further information about likely developments in the operations and the expected results of those operations in future financial years have not been included in this report because disclosure of the information would, in the opinion of the Directors, be likely to result in unreasonable prejudice to the Group.

Environmental regulation

The Group is not subject to any significant environmental regulation under a law of the Commonwealth or of a State or Territory in respect of its activities.

Subsequent events

On 17 February 2026, the Directors recommended the payment of a dividend of 4.7 cents per fully paid ordinary share, fully franked based on tax paid at 30%. The dividend has a record date of 26 February 2026 and a payment date of 27 March 2026. The aggregate amount of the proposed dividend expected to be paid out of retained earnings at 31 December 2025 is \$12.8m. The financial effect of this dividend has not been brought to account in the financial statements for the year ended 31 December 2025.

There has not been any matter or circumstance, other than that referred to in the financial statements or notes thereto, that has arisen since the end of the financial year, that has significantly affected, or may significantly affect, the operations of the Group, the results of those operations, or the state of affairs of the Group in future financial years.

Rounding

The financial report and the Directors' report have been rounded to the nearest hundred thousand unless specifically stated to be otherwise, in accordance with the Australian Securities and Investments Commission Corporations (Rounding in Financial/Directors' reports) Instrument 2016/191.

Comparative information presents reclassified comparative information where required for consistency with the current year's presentation.

Auditor's independence declaration

A copy of the auditor's independence declaration is required under section 307C of the Corporations Act 2001 is set out on page 22. The auditor's independence declaration forms part of the Directors' report.

Directors

The names of the Directors of the Company at any time during or since the end of the half-year are set out below. Directors were in office for the entire period, unless otherwise stated:

Name	Title
Mr Greg Medcraft	Chair and Independent Non-Executive Director
Mr Brett McKeon	Non-Executive Director
Mr Malcolm Watkins	Non-Executive Director
Mr Craig Carter	Independent Non-Executive Director
Ms Jane Muirsmith	Independent Non-Executive Director
Ms Annette King	Independent Non-Executive Director

This report is signed in accordance with a resolution of the Directors.

On behalf of the Directors

Greg Medcraft
Chair



Perth, Western Australia
17 February 2026

Consolidated Statement of Profit or Loss and Other Comprehensive Income

For the half-year ended 31 December 2025

In millions of AUD	Note	31 December 2025	31 December 2024
Commission and other income	4	544.1	467.4
Securitisation interest income		170.9	158.2
Operating income		715.0	625.6
Commission and other cost of sales		(504.1)	(428.8)
Securitisation interest expense		(144.0)	(139.6)
Gross profit		66.9	57.2
Other income		11.2	10.0
Administration expenses		(3.2)	(3.5)
Impairment expense on loans and advances		(0.2)	(0.2)
Other expenses	4	(46.7)	(43.9)
Results from operating activities		28.0	19.6
Finance income		3.3	3.9
Finance expense		(1.7)	(2.0)
Net change in fair value of financial liabilities at fair value through profit or loss		-	0.3
Share of profit of an associate		2.0	0.5
Profit before tax		31.6	22.3
Income tax expense		(9.2)	(6.6)
Profit for the period		22.4	15.7
Profit attributable to:			
Equity holders of the Company		22.4	15.3
Non-controlling interests		-	0.4
		22.4	15.7
Total comprehensive income for the period attributable to:			
Equity holders of the Company		22.4	15.3
Non controlling interests		-	0.4
		22.4	15.7
Earnings per share			
Basic earnings per share (cents per share)	11	8.26	5.65
Diluted earnings per share (cents per share)	11	8.10	5.60

The Consolidated Statement of Profit or Loss and Other Comprehensive Income should be read in conjunction with the Notes to the Financial Statements.

Consolidated Statement of Financial Position

For the half-year ended 31 December 2025

In millions of AUD	Note	31 December 2025	30 June 2025
Assets			
Cash unrestricted	5	60.6	63.7
Cash restricted	5	176.0	160.1
Trade and other receivables		11.5	15.2
Contract assets		1,236.2	1,176.2
Loans and advances		6,273.0	5,493.7
Investment in associates	8	56.2	48.6
Property, plant and equipment		1.3	0.8
Right of use assets		5.6	3.7
Intangible assets	9	42.5	44.4
Goodwill	10	61.1	61.1
Total assets		7,924.0	7,067.5
Liabilities			
Trade and other payables		1,247.4	1,186.3
Interest-bearing liabilities		6,402.4	5,612.9
Employee benefits		6.1	7.5
Current tax payable		0.3	2.4
Provisions		0.7	2.3
Contract liabilities		3.3	6.6
Lease liabilities		6.2	4.2
Deferred tax liability		26.2	23.2
Total liabilities		7,692.6	6,845.4
Net assets		231.4	222.1
Equity			
Share capital		103.0	102.1
Share-based payment reserve		9.3	8.9
Retained earnings		119.1	111.1
Total equity attributable to equity holders of the Company		231.4	222.1
Equity		231.4	222.1

The Consolidated Statement of Financial Position should be read in conjunction with the Notes to the Financial Statements.

Consolidated Statement of Changes in Equity

For the half-year ended 31 December 2025

In millions of AUD	Share capital	Share-based payment reserve	Other reserves	Retained earnings	Equity attributable to owners of the Company	Non-controlling interest	Total equity
Balance at 1 July 2025	102.1	8.9	–	111.1	222.1	–	222.1
Total comprehensive income for the period							
Profit	–	–	–	22.4	22.4	–	22.4
Total comprehensive income for the period	–	–	–	22.4	22.4	–	22.4
Transactions with owners, recorded directly in equity							
Dividends to equity holders	–	–	–	(14.4)	(14.4)	–	(14.4)
Share-based payment transactions	–	0.4	–	–	0.4	–	0.4
Issue of ordinary shares for Employee Share Scheme	0.9	–	–	–	0.9	–	0.9
Total transactions with owners	0.9	0.4	–	(14.4)	(13.1)	–	(13.1)
Balance at 31 December 2025	103.0	9.3	–	119.1	231.4	–	231.4

In millions of AUD	Share capital	Share-based payment reserve	Other reserves	Retained earnings	Equity attributable to owners of the Company	Non-controlling interest	Total equity
Balance at 1 July 2024	102.1	7.8	(12.4)	96.9	194.4	12.7	207.1
Total comprehensive income for the period							
Profit	–	–	–	15.3	15.3	0.4	15.7
Total comprehensive income for the period	–	–	–	15.3	15.3	0.4	15.7
Transactions with owners, recorded directly in equity							
Dividends to equity holders	–	–	–	(10.8)	(10.8)	(0.3)	(11.1)
Share-based payment transactions	–	0.9	–	–	0.9	–	0.9
Acquisition of non-controlling interest	–	–	12.4	0.4	12.8	(12.8)	–
Total transactions with owners	–	0.9	12.4	(10.4)	2.9	(13.1)	(10.2)
Balance at 31 December 2024	102.1	8.7	–	101.8	212.6	–	212.6

The Consolidated Statement of Changes in Equity should be read in conjunction with the Notes to the Financial Statements.

Consolidated Statement of Cash Flows

For the half-year ended 31 December 2025

In millions of AUD	Note	31 December 2025	31 December 2024
Cash flows from operating activities			
Cash receipts from customers		489.3	436.8
Cash paid to suppliers and employees		(486.8)	(445.6)
Interest received		170.9	166.5
Interest paid		(144.9)	(141.4)
Income taxes paid		(8.2)	(2.8)
Net cash generated by operating activities		20.3	13.5
Cash flows from investing activities			
Net interest received		3.2	3.9
Acquisition of property, plant and equipment		(0.8)	(0.1)
Purchase of intangible assets		(1.5)	(3.4)
Purchase of interest in subsidiaries and associates		(6.0)	(17.2)
Dividends received from associates and joint ventures		(0.3)	-
Broker loans and advances		0.1	0.1
Net loans and advances from/(to) borrowers		(774.1)	(617.3)
Net cash (used in)/from investing activities		(779.4)	(634.0)
Cash flows from financing activities			
Proceeds of warehouse facility		1,559.5	1,115.2
Repayments from warehouse facility		(962.6)	(60.0)
Proceeds to securitised funding facilities		1,000.0	-
Repayments from securitised funding facilities		(817.0)	(480.6)
Proceeds of debt facility		10.0	10.0
Repayments from debt facility		(2.6)	(2.6)
Payment of principal proportion of lease liability		(1.0)	(1.5)
Dividends paid to equity holders of the parent		(14.4)	(10.8)
Dividends paid to non-controlling interests		-	(0.3)
Net cash from/(used in) financing activities		771.9	569.4
Net increase/(decrease) in cash and cash equivalents		12.8	(51.1)
Cash and cash equivalents at the beginning of the period		223.8	221.6
Cash and cash equivalents at the end of the period	5	236.6	170.5

The Consolidated Statement of Cash Flows should be read in conjunction with the Notes to the Financial Statements.

Notes to the Financial Statements

For the half-year ended 31 December 2025

1. Reporting entity

Australian Finance Group Ltd (**the Company**) is a for-profit company domiciled in Australia. The general purpose condensed consolidated half-year financial report of the Company for the six months ended 31 December 2025 (half-year financial report) comprises the Company and its subsidiaries (the Group) and the Group's interest in associates and jointly controlled entities. The Group's principal activities in the course of the reporting period were mortgage origination and lending. The Company's principal place of business is Level 11, Dynons Plaza, 905 Hay Street, Perth 6000.

2. Basis of preparation and material accounting policy information

(a) Statement of compliance

The half-year report is an interim financial report which has been prepared in accordance with AASB 134 '*Interim Financial Reporting*'. Compliance with AASB 134 ensures compliance with International Financial Reporting Standard IAS 34 '*Interim Financial Reporting*'. The half-year report does not include notes of the type normally included in an annual report and should be read in conjunction with the most recent annual report.

(b) Basis of preparation

The consolidated financial statements have been prepared on a historical cost basis except for the following material items:

- Payables relating to trailing commission are initially measured at fair value and subsequently at amortised cost;
- Contract assets relating to trailing commission are measured using expected value method; and
- Financial instruments at fair value through profit or loss are measured at fair value.

All amounts are presented in Australian dollars ("AUD"), unless otherwise noted.

The financial report and the Directors' report have been rounded to the nearest hundred thousand unless specifically stated to be otherwise, in accordance with the Australian Securities and Investments Commission Corporations (Rounding in Financial/Directors' reports) Instrument 2016/191.

Comparative information presents reclassified comparative information where required for consistency with the current year's presentation.

The accounting policies and methods of computation adopted in the preparation of the half-year financial report are consistent with those adopted and disclosed in the Company's 2025 annual report for the financial year ended 30 June 2025, except for the impact of the Standards and Interpretations described below.

(c) New or Amended Accounting Standards and Interpretations adopted

The Group has adopted all of the new or amended accounting standards and interpretations issued by the Australian Accounting Standards Board (AASB) that are mandatory for the current reporting period. Any new or amended accounting standards or interpretations that are not yet mandatory have not been early adopted.

3. Segment information

AASB 8 Operating Segments (AASB 8) requires operating segments to be identified on the basis of internal reports about business activities in which the Group is engaged and that are regularly received by the chief operating decision maker, the Board of Directors, in order to allocate resources to the segment and to assess its performance.

The Group has three segments Distribution, Manufacturing and Central.

Distribution

The Distribution segment contributes 72% of EBITDA (excluding Central). The Distribution segment refers to the core aggregation services through AFG and Fintelligence in which these entities act as an aggregator that provides its contracted brokers with administrative and infrastructure support as well as access to a panel of lenders. The Group receives fees and various commissions, the primary two types of commission payments on loans originated through its network, as described below:

- Upfront commission or one-off commissions on settled loans – upfront commissions are received from lenders as a percentage of the total amount borrowed. Once a loan settles, the Group receives a one-off payment linked to the total amount borrowed as an upfront commission, a large portion of which is then paid, to the originating broker.
- Trail commissions on the loan book – trail commissions are received from the lenders over the life of the loan (if it is in good order and not in default), as a percentage of the particular loan's outstanding balance. The trail book represents the aggregate of the mortgages outstanding that have been originated by AFG brokers and are generating trail income.

This segment also includes AFG Home Loans (AFGHL) commissions.

Manufacturing

The Manufacturing segment contributes 28% of EBITDA (excluding Central). The Manufacturing segment refers to AFG Securities mortgages (securitised loans issued by AFG Securities Pty Ltd) that are distributed through the Group's broker network. The segment earns fees for services and net interest margin on its securitisation programme. The manufacturing segment also includes AFG's 31.9% investment in Thinktank (commercial and residential).

Central

Central costs include various centralised functions which provide services to both the Distribution and Manufacturing segments, including, but not limited to, information technology, finance and human resources. Central also includes intercompany transactions between Distribution and Manufacturing segments and predominantly relate to the elimination of broker fees and commissions paid from the Manufacturing business to the Distribution business.

Performance is measured based on segment profit before tax, as included in the internal management reports that are reviewed by the Board of Directors.

Half-year ended 31 December 2025				
In millions of AUD	Distribution	Manufacturing	Central	Total
Commission revenue and other income	561.1	1.9	(18.9)	544.1
Securitisation interest income	-	170.9	-	170.9
Operating income	561.1	172.8	(18.9)	715.0
Commission and other cost of sales	(514.7)	(7.9)	18.5	(504.1)
Securitisation interest expense	-	(144.0)	-	(144.0)
Gross Profit	46.4	20.9	(0.4)	66.9
EBITDA	35.9	14.3	(14.6)	35.6
Profit before tax	29.8	16.8	(15.0)	31.6
Income tax expense				(9.2)
Profit after income tax				22.4
Assets and Liabilities				
Total segment assets	1,443.6	6,473.7	6.7	7,924.0
Total segment liabilities	1,323.2	6,362.1	7.3	7,692.6
Net Assets	120.4	111.6	(0.6)	231.4

Half-year ended 31 December 2024				
<i>In millions of AUD</i>	Distribution	Manufacturing	Central	Total
Commission revenue and other income	479.6	3.1	(15.3)	467.4
Securitisation interest income	-	158.2	-	158.2
Operating income	479.6	161.3	(15.3)	625.6
Commission and other cost of sales	(435.0)	(8.8)	15.0	(428.8)
Securitisation interest expense	-	(139.6)	-	(139.6)
Gross Profit	44.6	12.9	(0.3)	57.2
EBITDA	33.2	5.9	(14.2)	24.9
Profit before tax	28.7	8.4	(14.8)	22.3
Income tax expense				(6.6)
Profit after income tax				15.7

As at 30 June 2025				
Assets and Liabilities				
Total segment assets	1,376.3	5,684.6	6.6	7,067.5
Total segment liabilities	1,254.5	5,581.7	9.2	6,845.4
Net Assets	121.8	102.9	(2.6)	222.1

4. Revenue and expenses

(i) Commission and other income

<i>In millions of AUD</i>	31 December 2025	31 December 2024
At a point in time		
Commissions	501.3	419.6
Securitisation transaction fees	1.1	2.1
Over time		
Interest on commission income receivable	35.7	40.2
Subscription income	5.1	4.1
Mortgage management services	0.1	0.2
Securitisation transaction fees	0.8	0.8
Other income	-	0.4
	544.1	467.4

(ii) Other expenses

In millions of AUD	31 December 2025	31 December 2024
Consultancy and professional fees	(3.2)	(2.7)
Information technology	(5.4)	(4.6)
Employee costs	(28.6)	(27.9)
Depreciation and amortisation	(5.6)	(4.6)
Other operating expenses	(3.9)	(4.1)
	(46.7)	(43.9)

5. Cash and cash equivalents

In millions of AUD	31 December 2025	30 June 2025
Cash at bank	60.6	63.7
Unrestricted cash	60.6	63.7
Cash collections accounts ¹	162.6	144.1
Restricted cash ²	13.4	16.0
Restricted cash	176.0	160.1
Cash and cash equivalents	236.6	223.8

¹ Discloses amounts held in the special purpose securitised trusts and series on behalf of the warehouse funder and the bondholders.

² Discloses cash collateralised standby letter of credit, liquidity reserve account and cash provided in trust by the warehouse providers to fund pending settlements.

6. Dividends

	31 December 2025		31 December 2024	
	Cents per share	Total Amount (\$'m)	Cents per share	Total Amount (\$'m)
Fully franked dividends declared and paid during the period				
Prior year final dividend	5.3	14.3	4.0	10.8
Fully franked dividends determined in respect of the period (declared but not recognised as a liability)				
Interim dividend	4.7	12.8	3.8	10.3

7. Financial instruments

Fair value hierarchy

The different levels have been defined as follows:

- Level 1: quoted prices in active markets for identical assets or liabilities.
- Level 2: inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3: inputs for the asset or liability that are not based on observable market data.

Fair value of financial assets and liabilities that are not measured at fair value (but fair value disclosures are required)

The table below reflects the fair value of the trail commission payable, non-current loans and advances and non-current securitised funding facilities. The carrying amount of all the other financial assets and liabilities recognised in the Consolidated Statement of Financial Position approximate their fair value due to their short-term nature.

In millions of AUD	31 December 2025		30 June 2025	
	Carrying Amount	Fair value	Carrying Amount	Fair value
Financial assets				
Non-current loans and advances	4,247.3	3,841.8	3,836.6	3,441.2
Future trailing commission contract asset ¹	1,234.9	1,231.9	1,176.2	1,170.7
Financial liabilities				
Future trailing commission payable ¹	1,148.8	1,133.9	1,089.4	1,111.2
Non-current securitised funding facilities	2,982.7	2,699.1	2,831.9	2,539.3
Non-current debt facility	-	-	36.4	31.1

¹ Note a 5% discount rate is applied to the fair value calculations. Run off rate and pay out percentage remain consistent with the carrying value calculation assumptions.

Loans and advances

The fair values of loans and advances are estimated using a discounted cash flow analysis, based on current lending rates for similar types of lending arrangements ranging from 4.7% to 9.3% (30 June 2025: 5.0% to 9.8%).

For the purpose of fair value disclosure under AASB 13 Fair Value Measurement (AASB 13), the loans and advances would be categorised as a level 3 asset where the lowest level input that is significant to the fair value measurement is directly or indirectly observable.

Future trailing commission payable

Trailing commissions are received from lenders on settled loans over the life of the loan based on the loan book balance outstanding if the respective loans are in good order and not in default. The Group is entitled to the trailing commissions without having to perform further services. The Group also makes trailing commission payments to members when trailing commission is received from lenders. Trail commissions are actuarially assessed on future cashflow based on a number of assumptions including estimated loan life, discount rate, payout ratio and income rate.

The trail commission assets and liabilities at 31 December 2025 relate to the Residential, Commercial and the AFGHL white label loan books.

The movement in the future trail commission balances for the period are mostly attributable to the growth of the respective trail books over the financial year as opposed to any significant changes in the assumptions applied.

The fair value of trailing commission contract asset from lenders and the corresponding payable to members is determined by using a discounted cash flow valuation. These calculations require the use of assumptions at the initial recognition of the trail commission on new tranche, which are determined by management, reviewed by external actuaries, by reference to market observable inputs. The valuation is classified as level 3 in the fair value measurement hierarchy.

The key assumptions/inputs underlying the carrying value calculations of trailing commission receivable and the corresponding payable to members at the reporting date is summarised in the following table:

	31 December 2025	30 June 2025
Average loan life	Between 3.5 and 4.2 years	Between 3.6 and 4.2 years
Discount rate per annum	Between 4.0% and 13.5%	Between 4.0% and 13.5%
Percentage paid to brokers	Between 78% and 96%	Between 78% and 96%

Securitised funding facilities

The fair value of securitised funding facilities are estimated using discounted cash flow analysis, based on current borrowing rates for similar types of borrowing arrangements ranging from 4.5% to 5.3% (30 June 2025: 5.3% to 6.8%).

For the purposes of fair value disclosure under AASB 13, the subordinated notes would be categorised as a level 3 liability where the lowest level input that is significant to the fair value measurement is directly or indirectly observable.

Debt Facility

The fair values of the debt facility is estimated using quoted market prices or dealer quotes for similar instruments.

For the purposes of fair value disclosure under AASB 13, the debt facility would be categorised as a level 2 liability. There is no impact of remeasurement on the profit or loss during the current period.

8. Investment in associates

<i>In millions of AUD</i>	31 December 2025	30 June 2025
Non-current		
Thinktank		
Cost of investment ¹	39.0	36.4
Current year share of profit	1.3	2.6
	40.3	39.0
Other broker related investments		
Cost of investment ¹	15.5	9.5
Current year share of profit	0.7	0.3
Dividends received	(0.3)	(0.2)
	15.9	9.6
Total investment in associates	56.2	48.6

¹ Includes acquisition costs and related transaction costs

This investment has been classified as an investment in associate measured using the equity method due to the Group's significant involvement in the financial and operating policy decisions including Board or advisory Board representation.

Thinktank Investment

AFG holds a 31.9% (30 June 2025: 32.0%) investment in Thinktank Group Pty Ltd (**Thinktank**) to provide exposure to a complementary, higher margin commercial lending business while leveraging AFG's distribution strength. Thinktank is a specialist commercial property lender focused on small to medium enterprise borrowers, offering commercial, SMSF and residential investment property loans. The investment, which has been held since 2018 diversifies AFG's earnings.

Other broker related investments

During the six months ended 31 December 2025, the Group acquired interest in three broker businesses within its network - Loan Path Finance Pty Ltd (**Loan Path**), Network Finance Pty Ltd (**Network Finance**) and TS Finance Broking Pty Ltd (**TS Finance**).

The Group's investment in associates ownership at balance date is as follows:

Name	Country of residence	Principal place of business	31 December 2025	30 June 2025
			Percentage ownership	
Thinktank Group Pty Ltd	Australia	Sydney, NSW	31.9	32.0
MAB Broker Services Pty Ltd	Australia	Sydney, NSW	48.1	48.1
Lifespan Pty Ltd	Australia	Perth, WA	30.0	30.0
Empower Wealth Mortgage Advisory Pty Ltd	Australia	Melbourne, VIC	20.0	20.0
Loan Path Finance Pty Ltd	Australia	Sydney, NSW	28.0	-
Network Finance Pty Ltd	Australia	Brisbane, QLD	40.0	-
TS Finance Broking Pty Ltd	Australia	Melbourne, VIC	35.0	-

9. Intangibles

	\$'m
Balance at 1 July 2025	44.4
Additions	2.7
Amortisation	(4.6)
Balance at 31 December 2025	42.5
Balance at 31 December 2024	47.0
Additions	1.3
Amortisation	(3.9)
Balance at 30 June 2025	44.4

10. Goodwill

	\$'m
Balance at 1 July 2025	61.1
Acquisitions	–
Balance at 31 December 2025	61.1
Balance at 31 December 2024	61.1
Acquisitions	–
Balance at 30 June 2025	61.1

The Group performs its annual impairment test in June and when circumstances indicate that the carrying value may be impaired. The Group's impairment test for goodwill and intangible assets with indefinite lives is based on value-in-use calculation using 5-year financial forecasts. The key assumptions used to determine the recoverable amount for the cash generating unit was disclosed in the annual consolidated financial statements for the year ended 30 June 2025.

As at 31 December 2025, no impairment indicators exist that require an assessment for impairment of the cash generating unit with goodwill.

11. Earnings per share (EPS)

Basic EPS Amounts are calculated by dividing the profit for the year attributable to ordinary equity holders of Australian Finance Group Ltd by the weighted average number of ordinary shares outstanding during the year.

Diluted EPS Amounts are calculated by dividing the profit attributable to ordinary equity holders of Australian Finance Group Ltd by the weighted average number of ordinary shares during the year plus the weighted average number of ordinary shares that would be issued on conversion of all the dilutive potential ordinary shares into ordinary shares.

The following reflects in the income and share data used in the basic and dilutive EPS computations:

	31 December 2025	31 December 2024
Profit attributable to ordinary equity holders of the Company (\$m)	22.4	15.3
Weighted average number of ordinary shares for basic EPS (millions)	271.1	270.8
Effect of dilution: Performance rights (millions)	5.3	2.5
Weighted average number of ordinary shares adjusted for the effect of dilution (millions)	276.4	273.3

There have been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and the date of authorisation of these financial statements.

12. Key management personnel

Remuneration arrangements of key management personnel are disclosed in the annual financial report. During the half year there were no material changes in the key management personnel remuneration structure.

13. Subsequent events

On 17 February 2026, the Directors recommended the payment of a dividend of 4.7 cents per fully paid ordinary share, fully franked based on tax paid at 30%. The dividend has a record date of 26 February 2026 and a payment date of 27 March 2026. The aggregate amount of the proposed dividend expected to be paid out of retained earnings at 31 December 2025 is \$12.8m. The financial effect of this dividend has not been brought to account in the financial statements for the year ended 31 December 2025.

There has not been any matter or circumstance, other than that referred to in the financial statements or notes thereto, that has arisen since the end of the financial year, that has significantly affected, or may significantly affect, the operations of the Group, the results of those operations, or the state of affairs of the Group in future financial years.

Directors' Declaration

In accordance with a resolution of the Directors of Australian Finance Group Ltd, I state that:

In the opinion of the Directors:

- a. The interim financial statements and notes of the Company and its subsidiaries (collectively the Group) are in accordance with the Corporations Act 2001, including:
 - (i) Giving a true and fair view of the Group's financial position as at 31 December 2025 and of its performance for the half-year ended on that date; and
 - (ii) Complying with Australian Accounting Standard AASB 134 Interim Financial Reporting and the Corporations Regulations 2001 ; and
- b. There are reasonable grounds to believe that the Company will be able to pay its debts as and when they become due and payable.

On behalf of the Board



Greg Medcraft
Chair

Perth, Western Australia
17 February 2026



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Auditor's Independence Declaration to the Directors of Australian Finance Group Ltd

As lead auditor for the review of the half-year financial report of Australian Finance Group Ltd for the half-year ended 31 December 2025, I declare to the best of my knowledge and belief, there have been:

- No contraventions of the auditor independence requirements of the *Corporations Act 2001* in relation to the review;
- No contraventions of any applicable code of professional conduct in relation to the review; and
- No non-audit services provided that contravene any applicable code of professional conduct in relation to the review.

This declaration is in respect of Australian Finance Group Ltd and the entities it controlled during the financial period.

Ernst & Young

Timothy Dachs
Partner
Perth
17 February 2026

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Independent auditor's review report to the members of Australian Finance Group Ltd

Conclusion

We have reviewed the accompanying half-year financial report of Australian Finance Group Ltd (the Company) and its subsidiaries (collectively the Group), which comprises the consolidated statement of financial position as at 31 December 2025, the consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the half-year ended on that date, explanatory notes and the directors' declaration.

Based on our review, which is not an audit, we have not become aware of any matter that makes us believe that the half-year financial report of the Group does not comply with the *Corporations Act 2001*, including:

- Giving a true and fair view of the consolidated financial position of the Group as at 31 December 2025 and of its consolidated financial performance for the half-year ended on that date; and
- Complying with Accounting Standard AASB 134 *Interim Financial Reporting* and the *Corporations Regulations 2001*.

Basis for conclusion

We conducted our review in accordance with ASRE 2410 *Review of a Financial Report Performed by the Independent Auditor of the Entity* (ASRE 2410). Our responsibilities are further described in the *Auditor's responsibilities for the review of the half-year financial report* section of our report. We are independent of the Group in accordance with the auditor independence requirements of the *Corporations Act 2001* and the ethical requirements of the Accounting Professional and Ethical Standards Board's APES 110 *Code of Ethics for Professional Accountants (including Independence Standards)* (the Code) that are relevant to reviews of the half-year financial report of public interest entities in Australia. We have also fulfilled our other ethical responsibilities in accordance with the Code.

Directors' responsibilities for the half-year financial report

The directors of the Company are responsible for the preparation of the half-year financial report that gives a true and fair view in accordance with Australian Accounting Standards and the *Corporations Act 2001* and for such internal control as the directors determine is necessary to enable the preparation of the half-year financial report that gives a true and fair view and is free from material misstatement, whether due to fraud or error.



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Auditor's responsibilities for the review of the half-year financial report

Our responsibility is to express a conclusion on the half-year financial report based on our review. ASRE 2410 requires us to conclude whether we have become aware of any matter that makes us believe that the half-year financial report is not in accordance with the *Corporations Act 2001* including giving a true and fair view of the Group's financial position as at 31 December 2025 and its performance for the half-year ended on that date, and complying with Accounting Standard AASB 134 *Interim Financial Reporting* and the *Corporations Regulations 2001*.

A review of a half-year financial report consists of making enquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with Australian Auditing Standards and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Ernst & Young

Ernst & Young

A handwritten signature in black ink, appearing to read 'Timothy Dachs'.

Timothy Dachs
Partner
Perth
17 February 2026

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